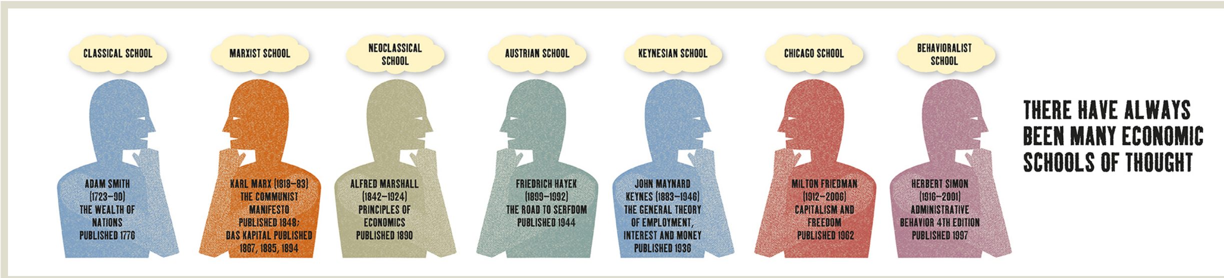
to distribute resources. Toward the end of the 19th century, Alfred Marshall (1842-1924) and Léon Walras (1834-1910) among others, established Neoclassical economics, describing and explaining Classical theories using scientific and mathematical principles.



Differences of opinion
Over the last two and a half centuries, there have been many different interpretations of the subject of economics. Influential economists have presented new ideas and inspired distinctive schools of thought.

Free market

The so-called Austrian school of economists reacted more strongly to Marx's ideas. In particular, Friedrich Hayek pointed out the failures of communist governments to manage prosperous economies. The Austrian school argued that governments had too much control and did not leave individual people and businesses to operate freely. Their suggestion of markets totally free of regulation or intervention, a *laissez-faire* economy, was also taken up by economists such as Milton Friedman of the Chicago school.

Preventing failure

During the 1930s, the Great Depression (see When markets don't **DO THEIR JOB**) showed that the market could fail, too. One of the most influential of 20th-century economists, John Maynard Keynes put forward his theories of how a certain amount of government intervention and control could help to prevent such failures.

Learning from the past